UNSHAKEABLE FINANCIAL PARTNERS

A NOTE ON IDLE CASH

Idle Cash: Bank Account or Cash-Value Policy?

If you hold more cash than you need for emergencies, here's how a cash-value life insurance policy compares, including when it isn't a good fit.

The trade-off with cash in the bank

Bank accounts and CDs are FDIC insured up to the limits and fully liquid, which is exactly what an emergency fund needs. The trade-off is that interest is taxed every year and may not keep up with inflation. For money you won't need for 10 or more years, some people consider cash-value life insurance.

Side by side

Safety	Bank: FDIC insured up to limits. Policy: backed by the claims-paying ability of the insurance company, not FDIC insured.
Growth	Bank: the bank's stated rate. Policy: credited interest, with indexed credits subject to a cap and a floor; can be zero in a down year.
Taxes on growth	Bank: taxed each year. Policy: tax-deferred inside the policy.
Access	Bank: fully liquid. Policy: policy loans or withdrawals; loans accrue interest, and surrender charges apply in early years.
Costs	Bank: usually low. Policy: insurance charges and fees, highest in the early years.
Protection	Bank: none. Policy: a death benefit for your family or business.

Keep your emergency fund in the bank. A policy is for long-term money. Cash value builds slowly at first because costs are highest in the early years, and surrendering early can mean getting back less than you paid in.

For business owners

A business-owned policy can provide key-person protection and help fund a buy-sell agreement or a key-employee retention benefit. Premiums are generally not tax-deductible, the insured must give written notice and consent, and the structure should be set up with your CPA and attorney.

Want to see how this looks for you?

Book a free 15-minute call with Tracy Hoth, a licensed insurance agent: unshakeablefinancial.com · (435) 232-3234. No obligation. If it isn't a fit, we'll tell you.

Important information. For educational purposes only; not tax, legal or investment advice. Consult your own tax and legal advisors. Indexed universal life (IUL) and other cash-value life insurance is life insurance, not an investment, a bank account or a security, is not FDIC insured, and is subject to medical and financial underwriting. Policies have fees and charges, which are highest in the early years, and surrender charges apply for a number of years. Indexed interest credits are subject to caps and participation rates that the insurance company can change, and may be zero; the 0% floor applies only to index credits, and fees can still reduce cash value. Illustrations are hypothetical and not guaranteed; always review the guaranteed values. Policy loans and withdrawals accrue interest, reduce cash value and death benefit, and may be taxable if the policy lapses, is surrendered or is a modified endowment contract (MEC). A policy may require additional premium to stay in force. Guarantees are based on the claims-paying ability of the issuing insurance company. Trace (Tracy) Hoth is a licensed insurance agent, Utah License #7616161, licensed in UT, ID, WY, VA, OH, NM, WA, GA, NC, SC, NV. Unshakeable Financial Partners LLC, 419 S 455 E, Smithfield, UT 84335. We offer life insurance and annuities only.